

August 28, 2026 03:44 AM GMT

Workday Inc | North America

2Q27 Results – Worth the Wait?

WHAT'S CHANGED

Workday Inc (WDAY.O)	From	To
Price Target	\$145.00	\$180.00

AlphaSignals Earnings Reaction

Unchanged Impact to our thesis	↑ Modest upside Financial results versus consensus	↑ Meaningful revision higher Direction of next 12-month consensus EPS
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Source: Company data, Morgan Stanley Research

Workday's in-line quarter and early FY28 guide (11% subscription growth, +200bps margin) set a growth floor and likely mark a clearing event, aided by AI greenshoots and a \$4B buyback. But since AI's impact on growth remains early, we favor other names seeing more direct AI benefits. UW.

Key Takeaways

- In-line print: Subscription revenue grew 13.9% YoY, beating consensus ~1%; cRPO grew 14.2% YoY, roughly in-line with consensus
- FY27 guide nudged up: Subscription revenue raised slightly at the midpoint to 12.6%; operating margin guidance raised 50bps to 31.0%
- Early FY28 look, a clearing event: 11% YoY subscription revenue with 200bps of margin expansion, framed as a "baseline" with upside potential
- AI greenshoots accelerating: AI ARR hit \$600M (+200%+ YoY, +20%+ QoQ), driving over 25% of new ACV; 5,500+ customers now use organic agents, up 35% + QoQ.
- New FY28 floor plus buyback support FCF/share growth, but AI's growth impact remains early. We see better AI-driven opportunities elsewhere. Remain UW.

In-Line Quarter, But Early FY28 Guide Creates a Clearing Event. Workday reported an in-line quarter with subscription revenue growth of 13.9% YoY, beating consensus by ~1% (in-line with prior beats). cRPO growth of 14.2% YoY was largely in-line with consensus at 14.1%. FY27 subscription revenue guidance was slightly raised from 12.5% YoY to 12.6% at the mid-point while operating margin was raised 50bps to 31.0%. Most interestingly, management gave an earlier than expected look at FY28, calling for subscription revenue growth of 11% YoY and operating margin expansion of 200bps. Management said they gave this early look to provide a "baseline" for growth in FY28 ahead of the upcoming Analyst Day in October. While there is a lot of exciting AI product innovation and early customer adoption at Workday, management noted it is still early days and their current focus is on AI

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Workday Inc (WDAY.O, WDAY US)

Software | United States of America

Stock Rating	Underweight
Industry View	Attractive
Price target	\$180.00
Shr price, close (Aug 27, 2026)	\$193.57
Mkt cap, curr (mm)	\$52,493
52-Week Range	\$249.85-110.36

Fiscal Year Ending	12/26	12/27e	12/28e	12/29e
EPS (\$) **	9.21	11.08	13.14	15.28
Prior EPS (\$) **	-	10.37	12.20	14.21
P/E	44.9	32.4	30.6	23.1
EPS (\$) §	10.74	12.60	14.53	15.23
Div yld (%)	-	-	-	-

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

QUARTERLY EPS (\$)

Quarter	2026	2027e Prior	2027e Current	2028e Prior	2028e Current
Q1	2.24	2.66	2.66	2.86	3.29
Q2	2.18	2.54	2.75	2.95	3.20
Q3	2.32	2.56	2.73	3.12	3.31
Q4	2.47	2.61	2.96	3.27	3.34

e = Morgan Stanley Research estimates

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adoption, which includes some pricing incentives for customers today. This informs the 11% FY28 guide, but management did note they see opportunities for upside to the 11%.

Accelerating AI Greenshoots Are Exciting. One of our key takeaways from the conference call was the sheer amount of AI product innovation occurring at Workday, which should not come as a surprise given the return of co-founder Aneel Bhusri as CEO and the large HR and finance AI opportunity at-hand, something we have written on tirelessly (see [Are We Underestimating Back Office AI?](#)). Workday is also seeing exciting early adoption of the AI solutions they have already rolled out. The AI greenshoots can be seen throughout the portfolio: **1) AI ARR hitting \$600 million, up over 200% YoY** and up over 20% sequentially, with AI products driving more than \$100 million of new ACV, or over 25% of all new ACV closed in Q2. **2) More than 5,500 customers are now using one or more organic agents, up over 35% from last quarter**, with Adaptive Decision Intelligence reaching 170 customers since its July 31 GA date and Deployment Agent surpassing 4,600 customers with query volume up nearly 500% in the quarter. **3) Customer proof points validating real-world ROI:** BMO piloted Self-Service Agent with 500 employees in May and scaled it to all 55,000 employees by June; Seminole Hard Rock Services is using Payroll Agent to automate tax and compliance calculations for 28,000 employees; and one Adoption Agent customer cut release deployment time by 70% across every functional area.

What To Do With the Stock? As we had flagged in our preview (see [2Q26 Off-Quarter SaaS Preview: High Bar for Re-Rating Keeps Us Selective](#)), FY28 subscription revenue consensus estimates looked too high given the likely Q4 exit growth rate. But now with management setting a floor for FY28 growth that has potential upside along with 200bps of operating margin expansion to ~33%, we believe this could be a bit of a clearing event for the stock as there is a path to rebound from a growth trough. And with an additional \$4 billion share buyback program, FCF per share could be set to grow 23%+ over the next few years, alluring incremental value investors. **However, because it likely takes some time for AI to more meaningfully impact Workday's growth metrics, we continue to see better relative opportunities elsewhere in our coverage that are seeing more direct impacts from AI today.** Remain UW.

Raise PT to \$180 from \$145. While we come away more encouraged coming out of 2Q results, we would like to see a path to faster AI monetization that may take several more quarters to manifest. That said, we are increasing our PT to \$180 from \$145 by applying ~10x (from 9x prior) our CY29 FCF estimate of \$4.4 billion, in line with broader application software peers and reflecting broader rerating across the group. Subscription revenue grows 13% through CY29, to reach \$12.2 billion in total revenue. Strong top-line growth helps op. margins improve to ~34% in CY29. We also revise our bull / bear cases accordingly. Our bull case goes to \$235, ~13x CY29e FCF (previously \$185 on 12x similar CY29e FCF). Likewise, our bear case goes to \$145, ~9x CY27e FCF of \$3.9 billion (previously \$100 on 7x similar CY29e FCF).

Exhibit 1: 2Q27 Variance

\$ in millions, except EPS	Actuals				QoQ change (%)	YoY change (%)	MS	Consensus	vs. Consensus			
	2Q25	3Q25	4Q25	1Q26					Beat/Miss	Delta	QoQ change (%)	YoY change (%)
Subscription Revenue	2,221	2,244.8	2,300.9	2,354.0	2,411.8	5.0%	12.3%	2,455.1	Beat	43.3	1.8%	13.3%
YoY	14.0%	14.8%	15.7%	16.3%								
Total Revenue	2,348.0	2,432.8	2,532.8	2,642.0	2,648.0	4.2%	12.8%	2,635.5	Beat	12.5	0.5%	3.7%
YoY	12.8%	12.8%	14.5%	13.5%								
12 Month Subscription Rev Backlog	7,910.0	8,218.8	8,833.8	8,886.0	9,034.0	2.6%	14.2%	9,017.4	Beat	16.6	0.1%	2.0%
YoY	16.3%	17.8%	15.4%	15.4%								
Non-GAAP Operating Income	680.0	692.8	774.0	809.0	826.0	1.9%	21.2%	789.2	Beat	17.2	2.1%	-2.2%
YoY	16.4%	16.4%	17.4%	17.4%								
Free Cash Flow	588.0	588.0	1,218.0	616.0	688.0	-25.3%	-21.8%	577.2	Miss	10.8	21.2%	-6.3%
YoY	-1.8%	-1.8%	15.6%	15.6%								
Margin Analysis (Non-GAAP)												
Operating Margin (%)	29.3%	29.5%	30.6%	30.6%	31.1%	172bps	210bps	29.9%	Beat	60bps	107bps	107bps
F-OP Margin (%)	28.0%	27.8%	28.1%	28.2%	28.4%	174bps	178bps	28.8%	Beat	40bps	102bps	102bps

Source: Morgan Stanley Research, Visible Alpha

Exhibit 2: 3Q26 Guidance

\$ in millions, except EPS	18/26 Guidance				QoQ change (%)	YoY change (%)	MS	Consensus	vs. Consensus			
	Low	High	Midpoint						Beat/Miss	Delta	QoQ change (%)	YoY change (%)
Subscription Revenue	2,515.0	2,515.0	2,515.0		1.8%	12.1%	2,513.7	2,513.0	Beat	0.7	0.1%	1.7%
YoY												
Non-GAAP Operating Income	808.5	808.5	808.5		-1.3%	16.8%	811.4	796.0	Beat	15.4	1.6%	-9.3%
YoY												
Margin Analysis (Non-GAAP)												
Operating Margin (%)	30.0%	30.0%	30.0%		111bps	158bps	30.2%	29.0%	Beat	110bps	158bps	158bps

Source: Morgan Stanley Research, Visible Alpha

Exhibit 3: FY27 Guidance

\$ in millions, except EPS	FY27 Guidance				FY27 Prior Guidance			Prior Guidance			
	Low	High	Midpoint	YoY change (%)	Low	High	Midpoint	Raised/Lowered	Delta	YoY change (%)	
Subscription Revenue	9,940.0	9,950.0	9,945.0	12.6%	9,925.0	9,950.0	9,937.5	Raised	10.0	0.0%	12.5%
YoY											
Total Revenue	10,640.0	10,650.0	10,645.0	11.4%	10,635.0	10,660.0	10,637.5	Raised	10.0	0.1%	11.4%
YoY											
Non-GAAP Operating Income	3,298.4	3,301.5	3,300.0	16.9%	3,190.5	3,198.0	3,191.3	Raised	10.0	3.4%	13.0%
YoY											
Margin Analysis (Non-GAAP)											
Operating Margin (%)	31.0%	31.0%	31.0%	145bps	30.0%	30.0%	30.0%	Raised	100bps		

Source: Morgan Stanley Research, Visible Alpha

Risk Reward – Workday Inc (WDAY.O)

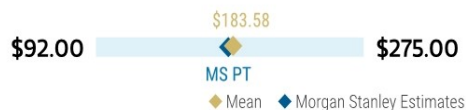
Strong Moat, But AI Journey Will Take Time

PRICE TARGET \$180.00

20x Base Case CY27e FCF ex-SBC, more in-line with mature-at-scale peers.

Consensus Price Target Distribution

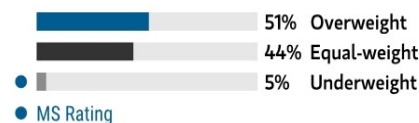
Source: Refinitiv, Morgan Stanley Research



UNDERWEIGHT THESIS

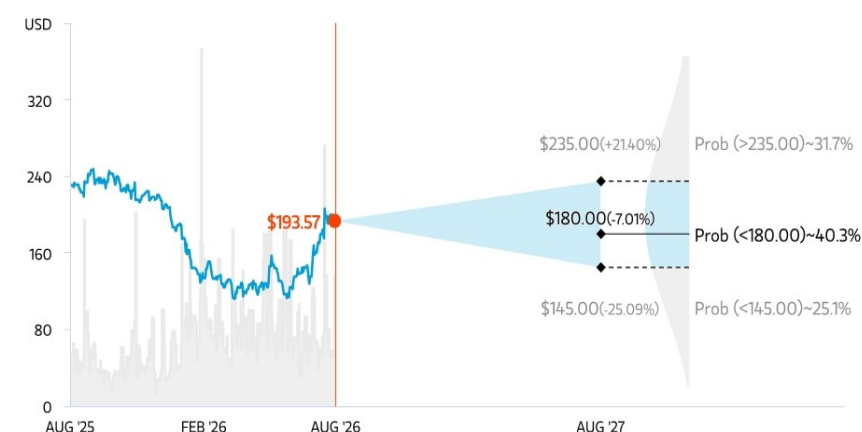
Despite a large potential market opportunity, best-in-class retention rate, and a growing product portfolio, we have seen consensus expectations around growth deteriorate over the past few years, leading to investor concerns of continued drags on growth. And now with the advent of AI, there is increased uncertainty around Workday's positioning and growth path going forward. We ultimately view Workday as well positioned given their strong moat, but from a timing perspective think it will take some time before AI starts driving a meaningful growth acceleration, so on a relative basis there are more attractive opportunities elsewhere in our coverage group today.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 27 Aug 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

Risk Reward Themes

Disruption: *Negative*
Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE \$235.00

Discounted 13x Bull Case CY29e FCF of \$4.4B

Workday's Investments Start to Accelerate Growth

Subscription revenue grows 14% CY24-CY29 CAGR, to reach \$13.2B total revenue. Strong top-line growth helps op. margins improve to ~34% in CY29. WDAY trades at 13x our CY29 FCF estimate of \$4.4B, discounted back at a ~12% discount rate, implying 27x EV/CY27 FCF ex. SBC.

BASE CASE \$180.00

Discounted 10x Base Case CY29e FCF of \$4.4B

Workday's Longer Journey to AI Monetization Delays Subscription Revenue Inflection

Subscription revenue grows 13% through CY29, to reach \$13B total revenue. Stable top-line growth and expanding subscription margins drive op. margins to ~34% in CY29. WDAY trades at 10x our CY29 FCF estimate of \$4.4B, discounted back at a ~12% discount rate, implying 20x EV/CY27 FCF ex. SBC.

BEAR CASE \$145.00

Discounted 9x Bear Case CY29e FCF of \$3.9B

Legacy Vendors Fight Back, Limited Success Outside of HCM Drives Subscription Revenue Deceleration

Subscription revenue grows 12% CY24-CY29 CAGR, to reach \$12.1B total revenue. Op. margins improve to ~33% in CY29. WDAY trades at 9x our CY29 FCF estimate of \$3.9B, discounted back at a ~12% discount rate, implying 20x EV/CY27 FCF ex. SBC.

Risk Reward – Workday Inc (WDAY.O)

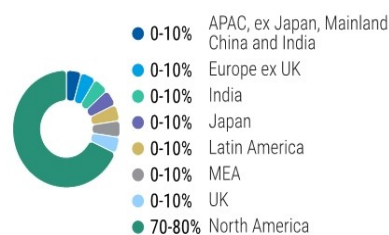
KEY EARNINGS INPUTS

Drivers	Dec 2026	Dec 2027e	Dec 2028e	Dec 2029e
Subscription Billings YoY Growth (%)	15.1	14.7	12.0	11.8
Subscription Revenue YoY Growth (%)	14.4	12.6	11.0	10.8
Operating Margin (%)	29.6	31.0	33.0	34.0
FCF YoY Growth (%)	26.7	14.4	23.3	12.7

INVESTMENT DRIVERS

- AI adoption and monetization
- Mid-market push
- Robust upsell motion
- Margin expansion

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5 BEST	24 Month Horizon	3/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- AI product adoption accelerates
- Greater margin expansion

RISKS TO DOWNSIDE

- Legacy vendors holding onto their bases better
- Lack of operating leverage
- Growth continues to decelerate

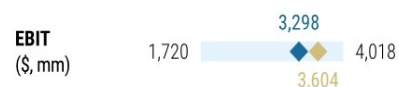
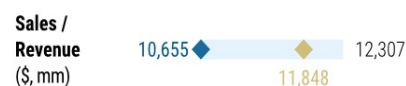
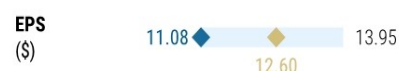
OWNERSHIP POSITIONING

Inst. Owners, % Active	52.7%	
HF Sector Long/Short Ratio	2.1x	
HF Sector Net Exposure	33.6%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Model Changes

Exhibit 4: WDAY Model Changes

	FY26	4/26	7/26	10/26E	1/27E	FY27E	FY28E	FY29E
New Subscription Rev	8,832.0	2,354.0	2,471.0	2,515.2	2,605.0	9,945.1	11,042.0	12,236.4
YoY Growth	14.4%	14.3%	13.9%	12.1%	10.4%	12.6%	11.0%	10.8%
Old Subscription Rev	8,832.0	2,354.0	2,455.1	2,513.7	2,614.8	9,937.5	11,086.9	12,305.6
YoY Growth	14.4%	14.3%	13.2%	12.0%	10.8%	12.5%	11.6%	11.0%
% Change	—	—	0.6%	0.1%	(0.4%)	0.1%	(0.4%)	(0.6%)
New Total Revenue	9,552.0	2,542.0	2,649.0	2,690.0	2,774.3	10,655.2	11,726.2	12,891.0
YoY Growth	13.1%	13.5%	12.8%	10.6%	9.6%	11.5%	10.1%	9.9%
Old Total Revenue	9,552.0	2,542.0	2,635.5	2,689.7	2,780.3	10,647.5	11,772.3	12,962.3
YoY Growth	13.1%	13.5%	12.2%	10.6%	9.8%	11.5%	10.6%	10.1%
% Change	—	—	0.5%	0.0%	(0.2%)	0.1%	(0.4%)	(0.6%)
New Operating Income	2,823.0	809.0	824.0	807.0	857.9	3,297.9	3,864.1	4,377.2
New Operating Margin	29.6%	31.8%	31.1%	30.0%	30.9%	31.0%	33.0%	34.0%
Old Operating Income	2,823.0	809.0	789.2	811.4	838.2	3,247.8	3,750.3	4,362.8
Old Operating Margin	29.6%	31.8%	29.9%	30.2%	30.1%	30.5%	31.9%	33.7%
% Change	—	—	4.4%	(0.5%)	2.4%	1.5%	3.0%	0.3%
Margin Change (bps)	0	0	116	-17	78	45	110	30
New Non-GAAP EPS	9.21	2.66	2.75	2.73	2.96	11.08	13.14	15.28
Old Non-GAAP EPS	9.21	2.66	2.54	2.56	2.61	10.37	12.20	14.21
% Change	0.0%	0.0%	8.3%	6.3%	13.6%	6.9%	7.7%	7.5%
New OCF	2,939.0	696.0	520.0	773.7	1,456.7	3,446.4	4,189.5	4,664.8
New Margin	30.8%	27.4%	19.6%	28.8%	52.5%	32.3%	35.7%	36.2%
Old OCF	2,939.0	696.0	89.1	852.3	1,822.5	3,459.8	4,056.1	4,641.8
Old Margin	30.8%	27.4%	3.4%	31.7%	65.6%	32.5%	34.5%	35.8%
% Change	—	—	483.8%	(9.2%)	(20.1%)	(0.4%)	3.3%	0.5%
Margin Change (bps)	0	0	1,625	-292	-1,304	-15	127	38

Source: Company data, Morgan Stanley Research estimates

Financials

Exhibit 5: Revenue Drivers

(\$ in millions, except EPS)		2026												2027E											
		FY22	FY23	FY24	FY25	4Q3	1Q3	1Q25	1Q24	FY24	4Q6	1Q8	1Q34E	1Q27E	FY27E	FY28E	FY29E								
Revenue Model																									
Subscription Revenue		4,545.2	5,567.2	6,603.0	7,717.0	2,099.0	2,169.0	2,244.0	2,349.0	8,832.0	2,354.0	2,471.0	2,515.2	2,605.0	9,945.1	11,042.0	12,336.4								
YoY % change		20.0%	22.5%	18.6%	16.3%	13.4%	14.0%	14.5%	16.7%	14.4%	14.3%	13.9%	12.1%	10.4%	12.8%	11.0%	10.8%								
QoQ % change						0.8%	5.3%	3.5%	6.3%		-0.3%	0.6%	1.4%	3.6%											
Sequential Dollar Added		759	1,021	1,038	1,114	19	110	78	116	1,115	-6	117	44	90	1,113	1,097	1,194								
Current Qtr. Revenue as % of Prior Qtr. TTM Billing						101%	109%	105%	106%		100%	103%	101%	102%											
% of Total		88%	90%	91%	91%	92%	92%	92%	93%	92%	93%	93%	94%	94%	93%	94%	95%								
Professional Services Revenue		590.5	648.6	655.8	729.0	181.0	179.0	188.0	172.0	720.0	188.0	178.0	174.8	169.3	710.1	684.1	664.6								
YoY % change		11.9%	9.3%	1.1%	11.2%	3%	-2%	10%	1%	1.2%	4%	-1%	2%	-2%	1.4%	3.7%	-4.3%								
QoQ % change						6%	-1%	8%	-4%		9%	-5%	-2%	-3%		7%	6%								
Margin Rate		17%	12%	10%	9%	9%	8%	8%	7%	8%	7%	7%	7%	7%	7%	7%	6%								
% of Total		12%	10%	9%	9%	8%	8%	8%	7%	8%	7%	7%	6%	6%	7%	6%	5%								
Total Revenue		5,135.8	6,215.8	7,258.8	8,446.0	2,280.0	2,348.0	2,432.0	2,521.0	9,552.0	2,542.0	2,649.0	2,690.0	2,774.0	10,655.2	11,726.2	12,991.0								
YoY % change		16.5%	21.0%	16.8%	16.4%	1%	5%	4%	4%	15.1%	3%	13%	11%	10%	11.3%	10.1%	9.9%								
QoQ % change						1%	5%	4%	4%		0%	4%	2%	3%											
Estimated Balance Sheet Model																									
Total New Billings (includes Add-ons & Expansions)		1,027.3	1,648.5	1,801.4	1,860.8	288.5	519.1	603.5	665.2	2,076.4	484.4	566.9	499.2	749.4	2,300.1	2,204.4	2,330.8								
YoY % change		34%	1%	8%	3%	-7%	27%	23%	2%	12%	71%	7%	-17%	13%	11%	-4%	6%								
QoQ % change						-5%	80%	16%	16%		-26%	13%	-16%	50%		20%	17%								
New Billings as % of Total Billings		28%	25%	23%	21%	18%	22%	25%	18%	21%	27%	21%	18%	16%	20%	17%	17%								
Total Billings (Revenue + Δ Deferred)		5,684.5	6,907.7	7,781.5	8,896.0	1,528.0	2,388.0	2,486.0	3,027.0	10,686.0	1,856.0	2,713.0	2,701.6	4,111.1	11,463.1	12,728.8	14,114.8								
YoY % change		22.4%	17.3%	16.3%	14.4%	6%	35%	19%	13%	13.8%	16%	14%	1%	14%	13.7%	11.0%	10.8%								
Total Sub. Billings (Sub. Rev. + Δ Deferred)		5,162.3	5,986.9	7,018.9	8,122.3	1,413.3	2,287.6	2,287.2	3,446.1	9,547.3	1,682.0	2,532.8	2,547.6	3,953.0	10,724.4	12,069.0	13,431.0								
YoY % change		24.4%	17.3%	18.2%	14.7%	7.1%	16.1%	21.7%	13.8%	15.1%	19.8%	14.7%	12.4%	14.2%	14.7%	12.0%	11.8%								
Total Professional Services Billings		587.0	680.3	673.0	743.7	187.5	180.4	188.8	211.9	728.7	186.0	180.2	176.9	218.2	738.4	719.2	687.0								
YoY % change		7.3%	16.3%	1.1%	10.3%	3%	-4%	4%	2%	0.2%	4%	3%	3%	3%	9.0%	3.6%	-3.9%								
Current Billings (Revenue + Δ Current Deferred)		5,693.7	6,664.3	7,756.4	8,899.0	1,585.0	2,388.0	2,451.0	3,071.0	10,695.0	1,867.0	2,711.0	2,706.4	4,166.1	11,434.4	12,716.8	14,105.0								
YoY % change		22.4%	17.3%	16.3%	14.4%	6%	35%	19%	13%	14.0%	16%	14%	1%	14%	13.7%	11.0%	10.8%								
11M Current Sub. Billings (Sub. Rev. + Δ Current Deferred)		5,160.0	6,015.7	7,100.0	8,127.0	6,231.0	6,330.0	6,330.0	6,370.0	6,376.0	6,460.0	6,564.0	10,332.6	10,743.0	11,743.0	12,333.0	13,451.0								
YoY % change		21.7%	17.3%	18.0%	14.3%	17.3%	17.3%	17.3%	17.3%	17.3%	17.3%	17.3%	17.3%	17.3%	17.3%	17.3%	17.3%								
QoQ % change						1%	4%	5%	5%		3%	3%	3%	3%											
Delta vs Subscription Rev		1%	-1%	1%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%								
Current Deferred Revenue		3,115.0	3,558.4	4,037.0	4,487.0	1,813.0	3,051.4	3,271.0	3,519.0	5,010.0	4,316.0	4,337.0	4,401.4	5,199.3	5,768.3	6,179.7	7,084.3								
YoY % change		22%	14%	14%	10%	7%	9%	12%	12%	12%	13%	14%	14%	16%	16%	17%	18%								
Delta vs 24-Month Backlog		-1%	-1%	-1%	-1%	-1%	-1%	-1%	-1%	-1%	-1%	-1%	-1%	-1%	-1%	-1%	-1%								
Current as % of Total Deferred		98%	98%	98%	98%	98%	98%	98%	98%	99%	98%	98%	98%	98%	98%	98%	98%								
Long Term Deferred Revenue		71.5	74.0	79.0	80.0	65.0	65.0	70.0	71.0	71.0	71.0	72.0	85.2	100.4	100.4	112.0	125.2								
YoY % change		-17%	4%	-6%	14%	7%	8%	9%	-17%	-17%	8%	17%	27%	47%	47%	72%	71%								
Delta vs Subscription Rev		2.2%	2.2%	2.2%	2.2%	2.2%	2.2%	2.2%	2.2%	2.2%	2.2%	2.2%	2.2%	2.2%	2.2%	2.2%	2.2%								
Reported Total Deferred Revenue		3,182.0	3,633.0	4,127.0	4,547.0	3,077.0	3,177.0	3,241.0	3,581.0	5,081.0	4,386.0	4,409.0	4,402.6	5,169.3	5,888.0	6,292.2	7,199.5								
YoY % change		21%	14%	14%	10%	-10%	1%	1%	24%	12%	13%	14%	14%	16%	16%	17%	18%								
QoQ % change						-10%	1%	1%	24%		-14%	1%	1%	33%											
Delta vs Subscription Rev		-10%	-10%	-10%	-10%	-10%	-10%	-10%	-10%	-10%	-10%	-10%	-10%	-10%	-10%	-10%	-10%								
Subscription as % of Total Deferred		98%	98%	98%	98%	98%	98%	98%	98%	99%	98%	98%	98%	98%	98%	98%	98%								
Estimated Bookings Model (Support above indicated)																									
Total Subscription Rev Backlog (RPO)		12,810.0	16,400.0	20,900.0	25,000.0	24,830.0	25,370.0	25,960.0	26,101.0	26,101.0	27,284.0	27,403.0													
YoY Growth		27.6%	28.4%	27.1%	18.8%	16.1%	17.4%	17.6%	12.1%	12.1%	10.8%	8.0%													
QoQ Growth						-2%	2%	2%	4%		-3%	0.0%													
Sequential \$ Added						-440	750	980	2,141		-407	108.0													
24-Month Subscription Rev Backlog		7,980.0	9,680.0	11,700.0																					
YoY Growth		22.2%	21.3%	20.8%																					
QoQ Growth																									
Sequential \$ Added																									
YoY % change																									
Delta vs Subscription Rev		2%	-1%	2%																					
12-Month Subscription Rev Backlog		4,950.0	5,510.0	6,000.0	6,530.0	7,030.0	7,910.0	8,210.0	8,830.0	8,830.0	8,866.0	9,034.0	9,154.0	9,381.0	9,811.0	9,811.0									
YoY Growth		20.0%	19.0%	18.0%	17.0%	16.5%	16.1%	16.5%	16.9%	16.9%	15.8%	16.2%	16.2%	16.3%	16.0%	15.9%									
QoQ Growth						-0.3%	1.0%	3.7%	3.1%	3.0%	0.3%	3.7%	3.1%	9.0%											
Sequential \$ Added						0	260	300	623		-27	228	120	827											
YoY % change																									
Delta vs Subscription Rev		-2%	1%	-1%	-1%	2%	2%	3%	0%	1%	1%	3%	0%	-1%	3%										
Subscription Bookings		7,269	9,207	11,093																					
YoY Growth		30.6%	26.7%	20.9%																					
QoQ Growth																									
24-Month Subscription Bookings		5,999	7,297	8,623																					
YoY Growth		23.8%	21.8%	18.2%																					
QoQ Growth																									
12-Month Subscription Bookings		4,697	5,693	6,747	2,099.0	2,440.0	2,544.0	2,883.0	10,033	2,327.0	2,609.0	2,635.0	3,432.1	11,093											
YoY Growth		20.0%	19.0%	18.0%	17.0%	16.5%	16.1%	16.5%	16.9%	14.7%	15.3%	16.2%	16.3%	16.0%	15.9%										
QoQ Growth						-0.3%	1.0%	3.7%	3.1%	0.3%	3.7%	3.1%	9.0%												
Sequential \$ Added					0	260	300	623		-27	228	120	827												
YoY % change																									
Delta vs Subscription Rev		-2%	1%	-1%	-1%	2%	2%	3%	0%	1%	1%	3%	0%	-1%	3%										
Subscription Bookings		7,269	9,207	11,093																					
YoY Growth		30.6%	26.7%	20.9%																					
QoQ Growth																									
24-Month Subscription Bookings		5,999	7,297	8,623																					
YoY Growth		23.8%	21.8%	18.2%																					
QoQ Growth																									
12-Month Subscription Bookings		4,697	5,693	6,747	2,099.0	2,440.0	2,544.0	2,883.0	10,033	2,327.0	2,609.0	2,635.0	3,432.1	11,093											
YoY Growth		20.0%	19.0%	18.0%	17.0%	16.5%	16.1%	16.5%	16.9%	14.7%	15.3%	16.2%	16.3%	16.0%	15.9%										
QoQ Growth						-0.3%	1.0%	3.7%	3.1%	0.3%	3.7%	3.1%	9.0%												
Sequential \$ Added					0	260	300	623		-27	228	120	827												
YoY % change																									
Delta vs Subscription Rev		-2%	1%	-1%	-1%	2%	2%	3%	0%	1%	1%	3%	0%	-1%	3%										
Subscription Bookings		7,269	9,207	11,093																					
YoY Growth		30.6%	26.7%	20.9%																					
QoQ Growth																									
24-Month Subscription Bookings		5,999	7,297	8,623																					
YoY Growth		23.8%	21.8%	18.2%																					
QoQ Growth																									
12-Month Subscription Bookings		4,697	5,693	6,747	2,099.0	2,440.0	2,544.0	2,883.0	10,033	2,327.0	2,609.0	2,635.0	3,432.1	11,093											
YoY Growth		20.0%	19.0%	18.0%	17.0%	16.5%	16.1%	16.5%	16.9%	14.7%	15.3%	16.2%	16.3%	16.0%	15.9%										
QoQ Growth						-0.3%	1.0%	3.7%	3.1%	0.3%	3.7%	3.1%	9.0%												
Sequential \$ Added					0	260	300	623		-27	228	120	827												
YoY % change																									
Delta vs Subscription Rev		-2%	1%	-1%	-1%	2%	2%	3%	0%	1															

Exhibit 6: Income Statement

(\$ millions, Except Per-Share Data)														
					2026					2027E				
	FY22	FY23	FY24	FY25	4/25	7/25	10/25	1/26	FY26	4/26	7/26	10/26E	1/27E	FY27E
Subscription Revenue	4,546.3	5,567.2	6,603.0	7,717.0	2,059.0	2,169.0	2,244.0	2,360.0	8,832.0	2,354.0	2,471.0	2,515.2	2,605.0	9,945.1
Year over year % change	20.0%	22.5%	18.6%	16.9%	13.4%	14.0%	14.5%	15.7%	14.4%	14.3%	13.9%	12.1%	10.4%	12.6%
Professional Services Revenue	592.5	648.6	655.8	729.0	181.0	179.0	188.0	172.0	720.0	188.0	178.0	174.8	169.3	710.1
Year over year % change	11.9%	9.5%	1.1%	11.2%	3.4%	-1.6%	-6.5%	0.6%	-1.2%	3.9%	-0.6%	-7.0%	-1.6%	1.4%
Total Revenue	5,138.8	6,215.8	7,258.8	8,446.0	2,240.0	2,348.0	2,432.0	2,532.0	9,552.0	2,542.0	2,649.0	2,690.0	2,774.3	10,655.2
Year over year % change	19.0%	21.0%	16.8%	16.4%	12.6%	12.6%	12.6%	14.5%	13.1%	13.5%	12.8%	10.6%	9.6%	11.5%
Quarter over quarter % change					1.3%	4.8%	3.6%	4.1%		0.4%	4.2%	1.5%	3.1%	
Cost of Revenue														
Cost of Subscription Revenue	655.6	845.6	870.3	1,121.0	308.0	331.0	356.0	379.0	1,374.0	375.0	392.0	399.0	418.3	1,584.4
Cost of Professional Services Revenue	507.6	586.8	620.2	689.0	157.0	184.0	169.0	169.0	679.0	166.0	186.0	157.1	166.4	675.5
Total Cost of Revenue	1,163.2	1,432.4	1,490.4	1,810.0	465.0	515.0	525.0	548.0	2,053.0	541.0	578.0	556.2	584.7	2,259.9
Non-GAAP Gross Profit	3,975.6	4,783.4	5,768.3	6,636.0	1,775.0	1,833.0	1,907.0	1,984.0	7,499.0	2,001.0	2,071.0	2,133.8	2,189.6	8,395.4
Gross Margin	77.4%	77.0%	79.5%	78.6%	79.2%	78.1%	78.4%	78.4%	78.5%	78.7%	78.2%	79.3%	78.9%	78.8%
Subscription Gross Margin	85.6%	84.8%	86.6%	85.5%	85.0%	84.7%	84.1%	83.9%	84.4%	84.1%	84.1%	84.1%	83.9%	84.1%
Professional Services Gross Margin	14.3%	9.5%	5.4%	5.5%	13.3%	-2.8%	10.1%	1.7%	5.7%	11.7%	-4.5%	10.1%	1.7%	4.9%
Operating Expenses														
Sales & Marketing	1,198.8	1,556.4	1,821.9	2,123.0	531.0	557.0	594.0	592.0	2,274.0	589.0	613.0	648.9	638.1	2,489.0
Research & Development	1,303.2	1,628.5	1,792.1	1,954.0	480.0	490.0	504.0	516.0	1,990.0	521.0	530.0	570.3	571.5	2,192.8
General & Administration	324.0	388.9	413.9	373.0	87.0	106.0	117.0	102.0	412.0	82.0	104.0	107.6	122.1	415.7
Total Operating Expenses	2,825.9	3,573.8	4,027.9	4,450.0	1,098.0	1,153.0	1,215.0	1,210.0	4,676.0	1,192.0	1,247.0	1,326.8	1,331.7	5,097.5
Year over year % change	15%	26%	13%	10%	4%	3%	8%	5%	5%	9%	8%	9%	10%	9%
Non-GAAP Operating Income	1,149.7	1,209.6	1,740.5	2,186.0	677.0	680.0	692.0	774.0	2,823.0	809.0	824.0	807.0	857.9	3,297.9
YoY	32.6%	5.2%	43.9%	25.6%	31.5%	31.3%	21.6%	32.5%	29.1%	19.5%	21.2%	16.6%	10.8%	16.8%
Operating Margin	22.4%	19.5%	24.0%	25.9%	30.2%	29.0%	28.5%	30.6%	29.6%	31.8%	31.1%	30.0%	30.9%	31.0%
YoY (bps)	229	-291	452	190	434	412	211	416	367	160	215	155	36	140
Incremental Margin	34.4%	5.6%	50.9%	37.5%	64.8%	61.6%	45.2%	59.2%	57.6%	43.7%	47.8%	44.6%	34.6%	43.0%
Rule Of (Sub Rev + OM)	42.4%	41.9%	42.6%	42.8%	43.7%	42.9%	43.0%	46.3%	44.0%	46.2%	45.0%	42.1%	41.3%	43.6%
Rule Of (Sub Rev + OM, Inc. SBC)	17.7%	18.9%	21.1%	24.2%	22.9%	26.3%	27.5%	31.0%	27.1%	30.1%	27.6%	23.8%	22.5%	25.9%
Net Interest and Other Income (Expense)	132.6	(37.8)	172.7	223.0	64.0	56.0	79.0	90.0	289.0	17.0	14.0	6.5	0.3	37.8
Income Before Taxes	1,282.3	1,171.9	1,913.1	2,409.0	741.0	736.0	771.0	864.0	3,112.0	826.0	838.0	813.5	858.2	3,335.7
% of revenues	25.0%	18.9%	26.4%	28.5%	33.1%	31.3%	31.7%	34.1%	32.6%	32.5%	31.6%	30.2%	30.9%	31.3%
Provision (Benefit) for Income Taxes	243.6	222.7	363.7	445.9	135.0	146.2	145.1	153.2	579.6	158.4	161.0	154.7	163.2	637.3
% Tax Rate	19.0%	19.0%	19.0%	17.4%	18.2%	19.9%	18.8%	17.7%	17.7%	19.2%	19.2%	19.0%	19.0%	19.0%
Net income	1,038.7	949.2	1,549.4	1,971.2	606.0	589.8	623.2	650.2	2,469.1	676.0	677.0	658.9	695.0	2,706.9
Net margin	20.2%	15.3%	21.3%	23.3%	27.1%	25.1%	25.6%	25.7%	25.8%	26.6%	25.6%	24.5%	25.1%	25.4%
Pro Forma EPS - Operating⁽¹⁾	\$3.97	\$3.66	\$5.84	\$7.32	\$2.24	\$2.18	\$2.32	\$2.47	\$9.21	\$2.66	\$2.75	\$2.73	\$2.96	\$11.08
														\$13.14
														\$15.28

Source: Company data, Morgan Stanley Research

Exhibit 7: Balance Sheet

(\$ in millions, except EPS)					2026					2027E						
	FY22	FY23	FY24	FY25	4/25	7/25	10/25	1/26	FY26	4/26	7/26	10/26E	1/27E	FY27E	FY28E	FY29E
Assets																
Cash and Cash Equivalents	1,541	1,895	2,024	1,554	988	1,264	2,618	1,509	1,509	568	668	41	95	95	2,723	7,139
Short Term Investments	2,110	4,235	5,801	6,474	6,998	6,922	4,234	3,942	3,942	3,794	2,742	2,742	2,742	2,742	2,742	2,742
Accounts Receivables, net	1,243	1,570	1,639	1,950	1,363	1,609	1,750	2,332	2,332	1,575	1,895	1,614	2,528	2,528	2,598	2,909
Deferred Commissions	153	191	232	267	268	278	286	306	306	307	320	326	351	351	392	431
Prepays and Other Current Assets	168	217	243	300	346	334	287	340	340	348	344	417	788	788	352	1,031
Deferred Taxes	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total Current Assets	5,214	8,108	9,939	10,545	9,963	10,407	9,175	8,429	8,429	6,592	5,969	5,139	6,504	6,504	8,807	14,251
Property and Equipment, net	1,123	1,201	1,234	1,239	1,140	1,121	1,132	1,093	1,093	1,121	1,126	1,098	1,070	1,070	965	830
Deferred Commissions, less current	391	421	509	561	544	562	573	634	634	619	654	666	718	718	800	880
Intangible Assets, net	341	305	233	361	340	320	549	681	681	645	611	611	611	611	611	611
Goodwill	2,840	2,840	2,846	3,478	3,478	3,478	4,263	5,229	5,229	5,228	5,227	5,227	5,227	5,227	5,227	5,227
Deferred Income taxes	-	-	1,065	1,039	1,013	959	905	829	829	745	1,129	1,129	1,129	1,129	1,129	1,129
Other Assets	589	610	626	754	734	1,114	1,154	1,179	1,179	1,141	1,141	1,250	546	546	1,384	1,521
Total Assets	10,499	13,486	16,452	17,977	17,212	17,961	17,751	18,074	18,074	16,091	15,857	15,119	15,805	15,805	18,923	24,449
Liabilities																
Accounts Payable	55	154	78	108	92	100	103	142	142	116	102	111	155	155	224	651
Accrued Expenses	196	260	287	296	271	346	352	454	454	457	462	379	255	255	273	297
Accrued Compensation	403	564	544	578	548	537	574	642	642	508	493	398	331	331	273	297
Deferred Revenue	3,111	3,559	4,057	4,467	3,812	3,852	3,871	5,010	5,010	4,325	4,387	4,403	5,789	5,789	6,780	7,995
Capital Lease Obligation, current	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Current Portion of Convertible Notes, Net	1,222	-	-	-	-	-	-	-	-	998	999	999	999	999	999	999
Current Portion of Debt	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other Short-term Liabilities	81	91	89	99	98	110	117	130	130	131	130	130	130	130	130	130
Total Current Liabilities	5,068	4,628	5,055	5,548	4,821	4,945	5,017	6,378	6,378	6,535	6,573	6,421	7,659	7,659	8,678	10,369
Deferred Revenue	72	75	70	80	65	65	70	71	71	70	72	89	100	100	113	125
Debt, noncurrent	617	2,976	2,980	2,984	2,985	2,985	2,986	2,987	2,987	1,990	1,990	1,990	1,990	1,990	1,990	1,990
Other Liabilities	207	222	265	331	422	794	799	833	833	813	762	762	762	762	762	762
Capital Lease Obligation, noncurrent	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Total Liabilities	5,963	7,901	8,370	8,943	8,293	8,789	8,872	10,269	10,269	9,408	9,397	9,262	10,512	10,512	11,543	13,246
Total Stockholders' Equity	4,535	5,586	8,082	9,034	8,919	9,172	8,879	7,805	7,805	6,683	6,460	5,856	5,293	5,293	7,380	11,203
Total Liabilities and Stockholders' Equity	10,499	13,486	16,452	17,977	17,212	17,961	17,751	18,074	18,074	16,091	15,857	15,119	15,805	15,805	18,923	24,449

Source: Company data, Morgan Stanley Research estimates

Exhibit 8: Cash Flow Statement

(\$ in millions, except EPS)					2026				2027E							
	FY22	FY23	FY24	FY25	4/25	7/25	10/25	1/26	FY26	4/26	7/26	10/26E	1/27E	FY27E	FY28E	FY29E
Net Income	29.4	(366.7)	1,380.5	526.0	68.0	228.0	252.0	145.0	693.0	222.0	632.0	241.2	252.1	1,347.3	1,490.5	1,938.1
Depreciation and Amortization	343.7	364.4	282.5	326.0	84.0	81.0	85.0	97.0	347.0	92.0	92.0	92.5	93.0	369.5	377.0	385.0
Stock Compensation Expenses	1,100.6	1,294.6	1,416.6	1,520.0	459.0	391.0	376.0	399.0	1,625.0	409.0	462.0	492.0	522.0	1,885.0	1,885.0	1,885.0
Amortization of Deferred Commissions	138.8	174.6	212.4	251.0	68.0	72.0	75.0	77.0	292.0	79.0	83.0	87.0	88.9	337.8	380.9	422.1
Amortization of Debt Discount	4.0	1.0	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other Non-Cash Charge	(73.8)	110.4	(57.1)	16.0	54.0	10.0	21.0	96.0	181.0	28.0	19.0	-	-	47.0	-	-
Changes in Working Capital																
Accounts Receivable	(207.9)	(318.6)	(87.4)	(312.0)	601.0	(264.0)	(126.0)	(570.0)	(359.0)	747.0	(326.0)	281.0	(913.7)	(211.7)	(70.4)	(310.7)
Deferred Commissions	(238.5)	(292.4)	(342.2)	(337.0)	(53.0)	(100.0)	(95.0)	(158.0)	(406.0)	(65.0)	(131.0)	(104.2)	(166.8)	(467.1)	(503.4)	(541.3)
Prepaid Expenses and Other Assets	(35.2)	(14.1)	69.3	50.0	(38.0)	54.0	27.0	(57.0)	(14.0)	(31.0)	20.0	(181.1)	332.1	140.0	(401.5)	(816.9)
Other Assets	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Accounts Payable	9.4	85.8	(71.4)	25.0	(4.0)	3.0	(7.0)	13.0	5.0	(1.0)	(12.0)	9.5	43.3	39.8	69.6	427.1
Accrued Compensation	24.3	(82.2)	-	-	-	-	-	-	-	-	-	(94.9)	(66.7)	(161.7)	(58.7)	24.5
Accrued Expenses	26.3	218.2	(95.5)	(41.0)	(131.0)	32.0	(25.0)	98.0	(26.0)	(200.0)	6.0	(82.7)	(124.4)	(401.1)	17.8	24.5
Deferred Revenue	529.5	451.6	492.9	398.0	(670.0)	41.0	(30.0)	1,128.0	469.0	(685.0)	64.0	33.6	1,396.9	809.6	1,002.6	1,227.5
Other Items and Liabilities	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Net Cash Provided by (used in) Operating Activities	1,650.7	1,657.2	2,149.4	2,462.0	457.0	616.0	588.0	1,278.0	2,939.0	696.0	520.0	773.7	1,456.7	3,446.4	4,189.5	4,664.8
YoY % change	30%	0%	30%	15%	22.8%	7.9%	44.8%	14.8%	19%	52.3%	-15.6%	31.6%	14.0%	17%	22%	11%
Capital Expenditures	(435.8)	(359.6)	(227.1)	(270.0)	(36.0)	(28.0)	(38.0)	(60.0)	(162.0)	(80.0)	(60.0)	(64.0)	(65.5)	(269.6)	(272.0)	(249.4)
Maturities/(Purchases) of Investments	24.7	(2,144.3)	(1,497.4)	(668.0)	(487.0)	52.0	2,701.0	291.0	2,557.0	127.0	1,020.0	-	-	1,147.0	-	-
Net Cash Paid for Acquisitions, Other Assets	(1,190.2)	(1.8)	(8.5)	(824.0)	-	-	(974.0)	(1,106.0)	(2,080.0)	-	-	-	-	-	-	-
Other Investing Activities	(6.1)	(0.3)	(18.3)	(19.0)	-	(11.0)	(2.0)	31.0	18.0	50.0	(13.0)	-	-	37.0	-	-
Net Cash Provided by (used in) Investing Activities	(1,607.4)	(2,506.0)	(1,751.3)	(1,781.0)	(523.0)	13.0	1,687.0	(844.0)	333.0	97.0	947.0	(64.0)	(65.5)	914.4	(272.0)	(249.4)
Proceeds from Issuance of Common Shares	76.4	67.0	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Proceeds from Issuance of Preferred Shares	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Proceeds from Exercise of Stock Options and Restricted Stock	71.9	85.0	82.5	106.0	-	111.0	-	81.0	192.0	-	98.0	-	-	98.0	-	-
Tax Benefit from exercise of stock options	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Stock Repurchases	-	(74.7)	(422.3)	(700.0)	(290.0)	(298.0)	(803.0)	(1,504.0)	(2,895.0)	(1,587.0)	(1,337.0)	(1,337.0)	(1,337.0)	(5,598.0)	(1,289.0)	-
Capital Lease Payments	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Net Borrowing	-	2,978.1	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Debt Paydown	(37.6)	(1,843.6)	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other Financing Activities	(0.5)	(8.0)	71.5	(556.0)	(211.0)	(161.0)	(118.0)	(121.0)	(611.0)	(146.0)	(128.0)	-	-	(274.0)	-	-
Net Cash Provided by (used in) Financing Activities	110.3	1,203.8	(268.3)	(1,150.0)	(501.0)	(348.0)	(921.0)	(1,544.0)	(3,314.0)	(1,733.0)	(1,367.0)	(1,337.0)	(1,337.0)	(5,774.0)	(1,289.0)	-
Exchange Rate Impact	(0.7)	(0.6)	(0.7)	(1.0)	1.0	(5.2)	-	1.0	(3.2)	(1.0)	-	-	-	-	(1.0)	-
Change in Cash and Cash Equivalents	152.8	354.5	129.0	(470.0)	(566.0)	275.8	1,354.0	(1,109.0)	(45.2)	(941.0)	100.0	(627.3)	54.1	(1,414.2)	2,628.5	4,415.4
Cash, Beginning of Period	1,387.9	1,540.7	1,895.2	2,024.2	1,554.2	988.2	1,264.0	2,618.0	1,554.2	1,509.0	568.0	668.0	40.7	1,509.0	94.8	2,723.3
Cash, end of Period	1,540.7	1,895.2	2,024.2	1,554.2	988.2	1,264.0	2,618.0	1,509.0	1,509.0	568.0	668.0	40.7	94.8	94.8	2,723.3	7,138.7
Operating Cash Flow	1,650.7	1,657.2	2,149.4	2,462.0	457.0	616.0	588.0	1,278.0	2,939.0	696.0	520.0	773.7	1,456.7	3,446.4	4,189.5	4,664.8
YoY Growth	30%	0%	30%	15%	23%	8%	45%	15%	19%	52%	-16%	32%	14%	17%	22%	11%
Margin	32.1%	26.7%	29.6%	29.1%	20.4%	26.2%	24.2%	50.5%	30.8%	27.4%	19.6%	28.8%	52.5%	32.3%	35.7%	36.2%
Delta with Operating Margin	9.7%	7.2%	5.6%	3.3%	-9.8%	-2.7%	-4.3%	19.9%	1.2%	-4.4%	-11.5%	-1.2%	21.6%	1.4%	2.8%	2.2%
Seasonality	-	-	-	-	15.5%	21.0%	20.0%	43.5%	-	20.2%	59.9%	22.5%	42.3%	-	-	-
Free Cash Flow	1,214.9	1,297.6	1,922.3	2,192.0	421.0	588.0	550.0	1,218.0	2,777.0	616.0	460.0	709.7	1,391.1	3,176.8	3,917.5	4,415.4
YoY Growth	20%	7%	48%	14%	45%	14%	53%	19%	27%	46%	-22%	29%	14%	14%	23%	13%
Margin	24%	21%	26%	26%	19%	25%	23%	48%	29%	24%	17%	26%	50%	30%	33%	34%
Delta with Operating Margin	1%	1%	3%	0%	-11%	-4%	-6%	18%	0%	-8%	-14%	-4%	19%	-1%	0%	0%
Adjusted Free Cash Flow	1,107.5	1,328.2	1,782.5	2,010.5	368.7	543.1	485.9	1,144.0	2,541.6	602.3	448.7	704.4	1,390.9	3,146.3	3,910.9	4,342.8
YoY Growth	12%	20%	34%	13%	51%	16%	57%	16%	26%	63%	-17%	45%	22%	24%	24%	11%
FCF / Share	4.64	5.00	7.25	8.14	1.56	2.18	2.05	4.62	10.36	2.42	1.87	2.94	5.93	13.01	16.62	19.11
YoY Growth	16%	8%	45%	12%	45%	13%	53%	22%	27%	56%	-14%	43%	28%	26%	28%	15%
Net Cash / Share	13.94	23.62	29.50	29.82	29.55	30.30	25.51	20.69	20.33	17.15	13.84	11.51	12.09	11.62	23.18	42.77

Source: Company data, Morgan Stanley Research estimates

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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Global Stock Ratings Distribution

(as of July 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A). The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

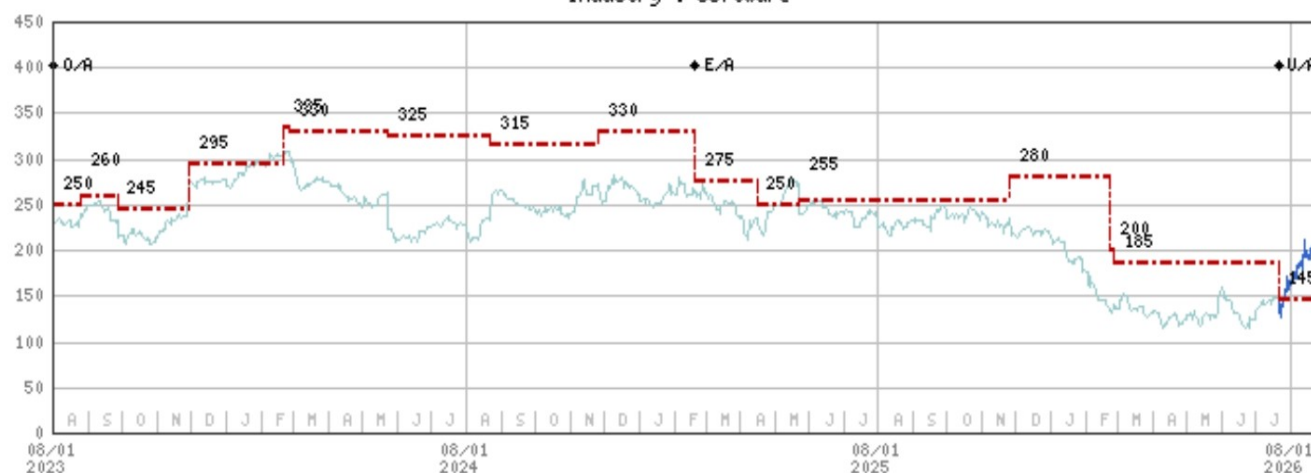
In-Line (I). The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C). The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

Workday Inc (WDAY.O) - As of 08/28/26 GMT in USD
Industry : Software



Stock Rating History: 8/1/21 : O/A; 2/19/25 : E/A; 7/21/26 : U/A

Price Target History: 12/17/20 : 305; 8/27/21 : 310; 11/15/21 : 340; 5/16/22 : 320; 5/26/22 : 310; 8/16/22 : 282; 11/22/22 : 220; 2/28/23 : 230; 5/26/23 : 250; 8/25/23 : 260; 9/27/23 : 245; 11/29/23 : 295; 2/21/24 : 335; 2/26/24 : 330; 5/24/24 : 325; 8/22/24 : 315; 11/26/24 : 330; 2/19/25 : 275; 4/15/25 : 250; 5/23/25 : 255; 11/25/25 : 280; 2/22/26 : 200; 2/25/26 : 185; 7/21/26 : 145

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Software

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/27/2026)
Adam Wood		
Adobe Inc. (ADBE.O)	U (07/21/2026)	\$289.15
Atlassian Corporation PLC (TEAM.O)	O (01/13/2020)	\$185.62
Intuit (INTU.O)	E (07/21/2026)	\$348.00
Microsoft (MSFT.O)	O (07/21/2026)	\$505.06
Salesforce, Inc. (CRM.N)	E (07/21/2026)	\$252.05
Samsara Inc (IOT.N)	E (03/23/2023)	\$41.87
ServiceNow Inc (NOW.N)	O (09/24/2025)	\$138.43
Shopify Inc (SHOP.O)	O (04/19/2024)	\$154.33
Workday Inc (WDAY.O)	U (07/21/2026)	\$193.57
Chris Quintero		
BILL Holdings Inc (BILL.N)	E (06/10/2025)	\$48.87
Blackline Inc (BL.O)	E (07/21/2026)	\$33.72
Box Inc (BOX.N)	E (05/21/2024)	\$34.74
CCC Intelligent Solutions Holdings Inc (CCC.O)	O (11/13/2024)	\$7.60
Descartes Systems Group Inc (DSGX.O)	O (01/15/2026)	\$80.66
DocuSign Inc (DOCU.O)	E (01/16/2024)	\$63.80
Manhattan Associates Inc. (MANH.O)	E (10/21/2025)	\$223.76
Navan Inc (NAVN.O)	O (11/24/2025)	\$30.58
ServiceTitan Inc (TTAN.O)	O (01/20/2026)	\$100.64
SPS Commerce Inc (SPSC.O)	U (07/21/2026)	\$84.20
Vertex Inc. (VERX.O)	E (07/21/2026)	\$14.30
Via Transportation Inc (VIA.N)	O (01/20/2026)	\$28.26
Elizabeth Porter, CFA		
Amplitude Inc. (AMPL.O)	O (01/15/2026)	\$14.28
Asana Inc (ASAN.N)	U (05/20/2025)	\$10.17
Autodesk (ADSK.O)	O (08/23/2024)	\$270.58

Figma Inc (FIG.N)	E (08/25/2025)	\$30.62
Five9 Inc (FIVN.O)	E (10/10/2022)	\$34.57
Freshworks Inc (FRSH.O)	E (10/18/2021)	\$13.69
GoDaddy Inc (GDDY.N)	E (07/19/2021)	\$96.98
HubSpot, Inc. (HUBS.N)	O (03/21/2023)	\$255.83
Klaviyo, Inc (KVYO.N)	O (04/29/2026)	\$19.61
Liveramp Holdings Inc (RAMP.N)	E (01/13/2025)	\$37.75
monday.com Ltd (MNDY.O)	O (08/12/2025)	\$99.51
NICE Ltd. (NICE.O)	E (07/21/2026)	\$105.09
RingCentral Inc (RNG.N)	E (08/08/2023)	\$68.53
Sprinklr Inc (CXM.N)	E (07/19/2021)	\$7.94
Sprout Social Inc (SPT.O)	E (11/17/2020)	\$11.04
Toast, Inc. (TOST.N)	O (12/16/2021)	\$35.17
Twilio Inc (TWLO.N)	O (02/24/2025)	\$241.34
Wix.Com Ltd (WIX.O)	E (07/21/2026)	\$85.76
Zeta Global Holdings Corp (ZETA.N)	E (08/01/2024)	\$30.22
Zoom Communications (ZM.O)	E (10/11/2022)	\$100.27
ZoomInfo Technologies Inc (GTM.O)	E (02/01/2024)	\$4.08
Meryl R Thomas, CFA		
Lightspeed Commerce Inc. (LSPD.N)	E (02/18/2021)	\$10.79
Meta A Marshall		
Check Point Software Technologies Ltd. (CHKP.O)	E (10/16/2023)	\$133.23
CrowdStrike Holdings Inc (CRWD.O)	O (03/10/2026)	\$227.96
Fortinet Inc. (FTNT.O)	E (07/21/2026)	\$172.78
Gen Digital Inc. (GEN.O)	E (06/07/2024)	\$30.50
Netskope, Inc. (NTSK.O)	O (10/13/2025)	\$15.12
Okta, Inc. (OKTA.O)	O (12/02/2024)	\$172.91
Palo Alto Networks Inc (PANW.O)	O (10/10/2017)	\$382.85
Qualys Inc (QLYS.O)	U (02/09/2021)	\$188.59
Rapid7 Inc (RPD.O)	U (07/21/2026)	\$13.50
SailPoint Inc (SAIL.O)	O (09/02/2025)	\$20.45
SentinelOne, Inc. (S.N)	E (12/02/2024)	\$22.71
Tenable Holdings Inc (TENB.O)	E (12/02/2024)	\$37.62
Varonis Systems, Inc. (VRNS.O)	E (01/26/2026)	\$44.78
Zscaler Inc (ZS.O)	E (04/22/2026)	\$187.30
Ryan Lountzis		
CoreWeave (CRWV.O)	E (04/22/2025)	\$86.80
Nebius Group NV (NBIS.O)	E (01/15/2026)	\$218.48
Sanjit K Singh		
Akamai Technologies, Inc. (AKAM.O)	O (01/12/2026)	\$111.24
Appian Corp (APPN.O)	E (04/30/2026)	\$41.40
C3.ai (AI.N)	U (01/04/2021)	\$10.33
Cloudflare Inc (NET.N)	O (12/02/2024)	\$308.23
Datadog, Inc. (DDOG.O)	O (01/12/2026)	\$242.93
DigitalOcean Holdings Inc (DOCN.N)	O (01/16/2025)	\$121.68
Dynatrace Inc (DT.N)	O (08/25/2026)	\$53.43
Elastic NV (ESTC.N)	E (07/21/2026)	\$83.74
GitLab Inc (GTLB.O)	E (01/12/2026)	\$44.81
JFrog Ltd. (FROG.O)	E (07/21/2026)	\$104.03
MongoDB Inc (MDB.O)	O (04/12/2023)	\$440.58
Oracle Corporation (ORCL.N)	E (01/15/2019)	\$151.94
PagerDuty, Inc. (PD.N)	U (07/21/2026)	\$12.63
Palantir Technologies Inc. (PLTR.O)	E (02/04/2025)	\$185.93
Snowflake Inc. (SNOW.N)	O (06/24/2025)	\$329.11

UiPath Inc (PATH.N)	E (09/07/2022)	\$18.33
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* Historical prices are not split adjusted.